

Sonde explains that India's problem with coal gasification in the past was importing technology that was "unsuitable for India's high ash coal". Indian coal contains up to 45% ash, while China's averages 28% and South Africa's less than 15% (it exports coal to India too). Coal with high ash content requires washing, wasting coal in the process and raising cost.

"It was only in the late '90s that efforts were reignited to develop the appropriate technology in India and only in early 2010s it was realised that coal gasification is critical for energy and industrial feed-stock security and intensive efforts were carried out," he says.

These efforts eventually led to the development of indigenous coal gasifiers and the National Coal Gasification Mission of 2021.

MISSION-MODE PUSH

Since the West Asia war, Union Minister for Coal and Mines G. Kishan Reddy has been consistently pushing the industry, reaffirming the Centre's commitment to stem import dependence. The Union Cabinet is likely to clear a fresh round of financial incentives to boost coal gasification projects over the next two to three weeks, with an estimated outlay of ₹35,000-37,000 crore, a senior government official told *Business Today*.

At present, the Centre offers four incentives: ₹8,500 crore or 15% VGF; approval for investments by Coal India for coal gasifier projects; auctioning coal blocks at a floor price to keep cost low; and 50% rebate in revenue share for coal use.

However, industry is seeking more. Balasaheb Darade of New Era Cleantech Solution, which received VGF support of ₹1,100 crore for a five MT coal gasification project at Maharashtra's Chandrapur, says the industry has made four demands keeping in mind the high capex in such projects: increasing VGF from 15% to 50-70%, in line with that for semiconductor plants; tax holidays till 2047, in line with the Budget 2026 declaration for data centres; 50% guaranteed purchase of products by government agencies; and infrastructure status to ensure priority lending, lower interest rates.

Scientists have other thoughts. Sonde says India needs "a mission-mode approach" and coordinated efforts since "coal gasification is much bigger in scope and covers power, chemicals, fertilisers, fuels and gas, pharmaceuticals and other specialty chemicals". He says more research is needed to capture and convert residual carbon dioxide generated dur-



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MD, NEW ERA
CLEANTECH SOLUTION



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RR SONDE

MEMBER OF THE
STEERING COMMITTEE
FOR NATIONAL COAL
GASIFICATION MISSION

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ing coal gasification to achieve near zero emission. Work on this is currently on.

A senior scientist at a government research institution says: "Proven technology exists, the Centre is giving the necessary support. It is for industry to take it forward. It is not so much about capex as about energy security and resilience. It is our strategic need."

Indeed, India needs the doggedness that China and South Africa have shown and not let up after supply of crude, LNG and LPG is restored. **BT**